BDRY

BREAKWAVE ADVISORS

Dry Bulk Shipping

June 11, 2024

Breakwave Dry Futures Index:	2,021	Baltic Dry Index (spot):	1,883	Short-term Indicators:	
↓ *30D: -10.2%*		↓ *30D: -11.6%*		*Momentum:*	Neutral
↑ *YTD: 34.8%*		↓ *YTD: -10.1%*		*Sentiment:*	Neutral
↑ *YOY: 43.8%*		↑ *YOY: 78.5%*		*Fundamentals:*	**Negative**

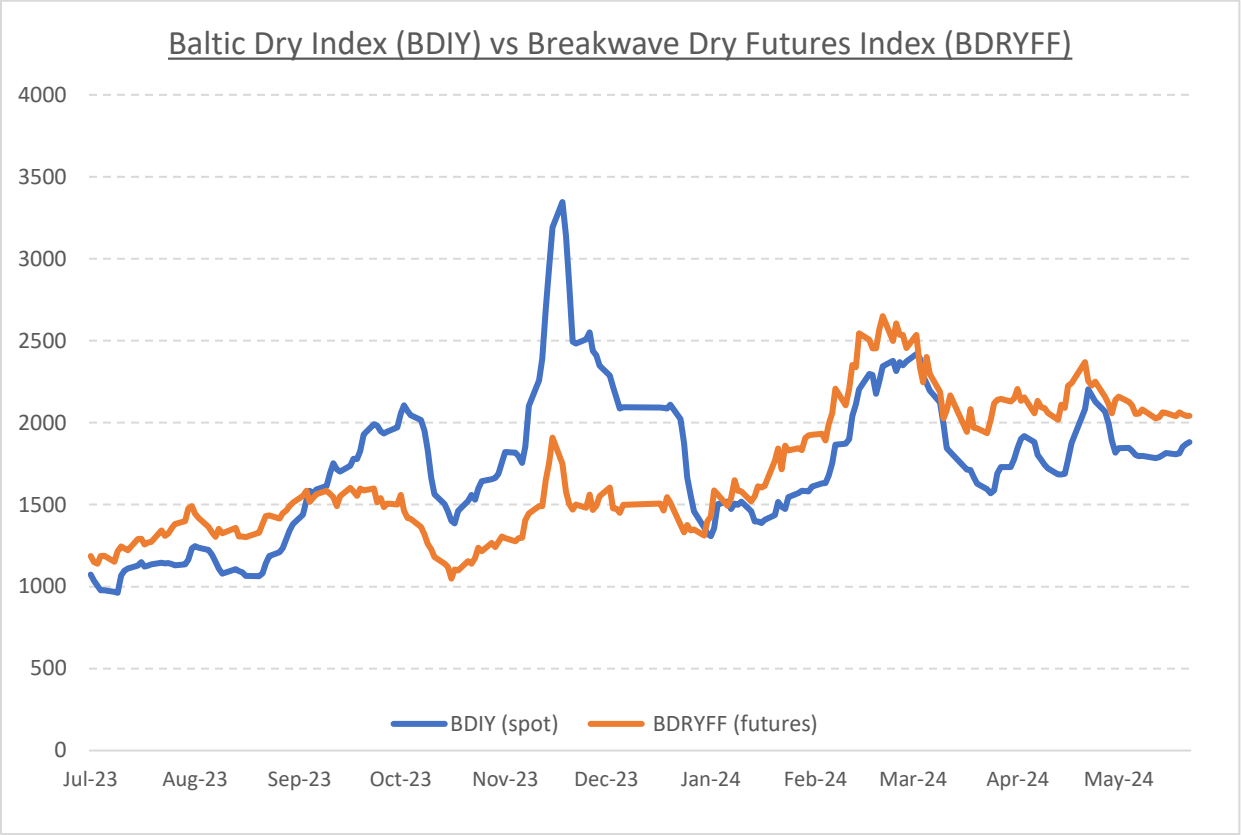
Bi-Weekly Report

- **Steady as it goes while curve inverses and sentiment moderates –** The past few weeks have been **uncharacteristically calm** for the otherwise volatile dry bulk market. Although **spot** Capesize rates have been **ticking higher**, such a strength has not been jumpy as it usually is, at a time when **futures were already pricing** some improvement going to the month of June. In the last few days though, the **futures curve has inverted** and now sits below spot, demonstrating some **skepticism** amongst traders as it relates to the **progression** of rates for the **first time in a while**. We also **anticipate** some **softening** in rates during the **summer** months, mainly reflecting **weaker Atlantic** market demand. **West Africa** enters its **rainy** season which tends to reduce bauxite as well as iron ore cargoes available for loading. Furthermore, a lot of iron ore has been already exported out of **Brazil**, and such "**frontloading**" could have a **negative impact** on demand for the reminder of the year. The combination of those factors leads us to a more cautious stance for the next few months as we continue to believe that for **iron ore and coal**, trade volumes will be **comparable** to **last year** (meaning the strong year-to-date volumes are now a headwind). For investors, a flattish futures curve becomes a more attractive proposition if indeed spot rates soften and weigh on futures along the process. The fourth quarter rates should once again prove to be stronger than the third, and **any potential summer dip** will reshuffle the existing bullish positioning, **creating opportunities** and **setting the stage** for a rebound trade in late summer.

- **China is not what it used to be when it comes to commodities and traders will soon take notice –** The argument of **peak mass construction** in China seems to be gaining traction, as the **historical inventory cycles** that drove prices seem to be **out of synch** and underlying **demand** has **little momentum** irrespective of stimulus or government measures. Commodity traders have relied on such inventory cycles over the past few decades in order to accumulate during soft patches and then sell during stronger demand periods such construction-related commodities. Are those cycles a thing of the past? China's **steel production has been running at around 1 billion tons** for the fourth year in a row now, and given the underlying drivers (real estate, infrastructure and manufacturing), we are having a hard time identifying any change in trend anytime soon. The **steel export market is strong because of such domestic weakness** but cannot sustain the historical growth rates by itself (let alone the political pressure for flooding the global markets with cheap steel). **The period of massive construction might be over** and given the relatively high inventories and **elevated** iron ore **import** run rates, it will **take some time** before **iron ore fundamentals return** to a more favorable balance, in the process pushing prices to much lower levels in order to disincentivize new mining investments.

- **Our Long-term View –** The last few years have been characterized by increased geopolitical uncertainty. Going forward, we expect such events to continue to affect global trade and have a meaningful impact on effective vessel supply. Combined with the potential for a multi-year cyclical rebound in China's economic activity following the recent economic turmoil, dry bulk shipping should experience higher volatility on top of a secular tightness driven by increasing bulk commodity demand and a slower fleet growth as a result of a relatively low orderbook.

The Baltic Dry Index (BDI) measures the average spot rates for dry bulk freight with a sector weighting of 40% Capesize, 30% Panamax and 30% Supramax. The Breakwave Dry Futures Index (BDRYFF) is designed to track freight futures contracts with a sector weighting of 50% Capesize, 40% Panamax and 10% Supramax and a weighted average maturity of approximately 50-70 days.



Dry Bulk Fundamentals

Demand	YTD	YOY
China Steel Production	344mt	-3.0%
China Steel Inventories	5.7mt	3.8%
China Iron Ore Inventories	147mt	16.7%
China Iron Ore Imports	514mt	6.9%
China Coal Imports	205mt	12.6%
China Soybean Imports	37mt	-11.7%
Brazil Iron Ore Exports	113mt	13.6%
Australia Iron Ore Exports	287mt	0.3%

Supply		
Dry Bulk Fleet	1016dwt	3.0%

Freight Rates		
Baltic Dry Index, Average	1,821	56.8%
Capesize Spot Rates, Average	23,265	94.5%
Panamax Spot rates, Average	14,503	36.1%

Note: All numbers as of latest available; Imports/Exports/Production are YTD sums as of latest reported; Inventories/Fleet are weekly totals
Sources: Bloomberg and Breakwave Advisors

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Contact:
Breakwave Advisors LLC
17 State Street, 40th floor
New York, NY 10004
Tel: +(1) 646 775 2898
Email: research@breakwaveadvisors.com